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YALE POLITICAL MONTHLY

December 1979

Vol. 1 No. 2

Academic Freedom At Yale:
The Pangle Case
Craig Gilbert

Leviathan In Lederhosen
David Large

The Oil Technology Weapon In
U.S.—Soviet Relations
Noel Lateef

Health Care For Consumers
Susan Billington

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Academic Freedom At Yale: The Pangle Case Craig Gilbert

Academics and politics aside, the Pangle case has one simple meaning for Yale's student body: the loss of one of the University's outstanding teachers. Over the past two years, Pangle has taught virtually one-half the undergraduates enrolled in Political Science courses. For three years he has been the backbone of a revitalized freshman Humanities program. Students normally feel "cheated" when they lose a teacher this good, but are usually prepared to accept it as one more case of a junior professor who hasn't published. Pangle has published and his work is respected. In the course of a very intensive tenure review, no documentation was produced that suggested anything deficient about his work. Why then, did the department reject him? Pangle cites academic and political discrimination. He attributes to the department a series of decisions, remarks and irregularities which strongly suggest the existence of a bias against his purported school of thought — "Straussianism". The extent or role of this bias in his review is impossible to determine. However, the first thing one examines when such bias is alleged is the formal basis for the candidate's rejection; was there legitimate grounds for denying him tenure? As we will see, these grounds did not exist in any proper fashion. When this

is the case, and evidence indicates prejudice, prejudice must be presumed.

As we know, the Morgan Report, despite overturning Pangle's rejection, does not reach these conclusions; its reasons for doing so are worth examining. Before, discussing the Report itself, it would be helpful to review the events leading up to it.

In mid-January of 1979, the Provost's office made available to the Political Science department a tenured position in Political Philosophy. By the end of the month, department chairman Lane had appointed a committee of Professors Hamburger, Lindblom, and Linz to evaluate candidates for the slot, and to specifically consider Associate Professor Pangle. The position in question was formally described as one in "political philosophy and political theory broadly defined." On March 12, evaluation letters were sent to eighteen professors in the field at other universities. The letters, which normally constitute the major documentation of a candidate's merit, asked the referees to judge Pangle and his work and compare him to "other scholars of roughly the same age group and experience in the field."

On April 10, chairman Lane changed the composition of the committee by adding Professor Rae to the original group of three. Shortly afterward, Pangle filed a grievance with the Provost, requesting a decision by June and protesting the addition of Rae. Rae subsequently re-

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signed from the committee but returned at the request of colleagues. Meanwhile Professor Linz made it known that he would be absent from the committee's final deliberations and by mid-May had ceased to be a functioning member.

The committee completed its evaluations on May 31. Lindblom and Rae filed a majority report recommending the denial of tenure for Pangle. Although the letters of evaluation made a "strong case for tenured appointment for Pangle" they were judged "less than useful." The major evidence for rejection was a series of phone calls made by Lindblom to prominent professors of Political Philosophy, requesting their evaluation of a long list of candidates. On the basis of this evidence, the majority report concluded that Pangle qualified for tenure in all respects but one — "intellectual leadership." Professor Hamburger, the committee's chairman, filed a dissenting report.

On June 1, Pangle petitioned the Dean for a "remedy of injustice" concerning his tenure review, which he claimed involved "unfairness, procedural impropriety, and violations of academic freedom." Pangle claimed the department neglected to judge him on his individual merits, as it was "decisively influenced by considerations of my purported political views, personal associations, and supposed adherence to or representation of a particular school of thought — the so-called 'Straussian school'." The Straussian issue Pangle charged, prejudiced his evaluation and lay behind the procedural irregularities in his review.

A few words about Straussianism are relevant here. In his letter to the Dean, Pangle offered a brief explication of Strauss which I will paraphrase. Leo

Strauss, of whom Pangle is considered a disciple, had been a prominent and influential scholar of Political Philosophy at the University of Chicago. A central theme of his work was the essential tension between the needs of political philosophy and those of a healthy political society. The latter rests on certain fundamental and unquestioned moral convictions whose validity the former invariably challenges. Because of this conflict, many great political philosophers muted or concealed their true beliefs to avoid the appearance of undermining these convictions. Therefore the study of these thinkers requires a close and highly interpretative textual analysis. Strauss also believed that modern thinkers are subject to a similar reluctance to challenge society's basic ideals, and that contemporary "value-free" social-scientific analysis masks this reluctance. He felt that our commonly accepted values, liberty, tolerance, and egalitarianism, are not being critically examined, and that the ideals of traditional, hierarchical societies still pose potentially helpful alternatives to the liberal democratic model. The politically conservative reputation of Straussians follows from these considerations.

In his letter to the Dean, Pangle cited specific evidence to support his general charge of academic and political discrimination. In late January, he claimed, he met with Professor Lindblom to discuss his tenure review. Lindblom told him that "fear of Straussians" would be a major issue in his evaluation. Lindblom added that many senior professors were convinced that any scholar influenced by Strauss was "necessarily 'tainted with certain specific vices' which made him 'unacceptable' as a tenured

colleague."

Pangle went on to cite the case of Christopher Kelly, who had been considered in April for a junior position in political philosophy. The search committee appointed by the department -- Professors Kagan, Hamburger and Fairbanks -- unanimously recommended Kelly, who had studied under Allan Bloom of Toronto, a well-known Straussian. Their second choice was a scholar who had studied with Professor Fairbanks, also considered a Straussian. After receiving these recommendations the Political Science Department rejected both candidates proposed by the committee. According to Pangle, the Straussian connection was a "salient ground for the rejection." As evidence, he cited the words of a senior professor in the department who had voiced charges of unacceptable deviance "from the mainstream of contemporary political theory" against those whose "degrees came from certain well-known institutions in Illinois and Ontario." (where Strauss and Bloom had taught). During these discussions another senior colleague, upon hearing that Kelly had studied with Bloom, stepped outside to speak with Fairbanks. There he told him "he was playing with dynamite, that by nominating Kelly the search committee was endangering my [Pangle's] chances, and Fairbanks' own future, because the department would never accept three Straussians...."

Pangle also mentioned a series of procedural irregularities, the most important of which concerned the addition of Professor Rae to his review committee. Rae, he claimed, "has established a reputation in the department for being an opponent of what he calls 'Straussians'

on what are apparently political as well as other grounds." Pangle cited a remark which students and colleagues had told him Rae had made last year in class: "Academic freedom is one thing, but there are two types who should never be allowed to teach here -- Leninists and Straussians." Pangle also reported a personal conversation with Rae on May third, in which Rae told him he had been placed on the committee as a "representative from the anti-Pangle anti-Straussian, anti-political philosophy faction" in the department. Lastly, Pangle claimed that on May twenty-second, Professor Hamburger had told him that a member of the committee was considering suing him over complaints Pangle made privately to the Acting Provost. This occurred while the committee's review was still in progress.

Not long after Pangle's charges were received Acting Provost Bockelman appointed Sterling History Professor Edmund Morgan, Law Professor Robert Cover, and Mathematics Professor George Mostow to a committee of review. The Morgan Report, published on October fifteenth in a thirteen page summary, overturned the original denial of tenure. They judged the addition of Rae improper and because Rae had contributed to a two to one decision against Pangle, the denial of tenure was not allowed to stand. In conclusion, it recommended the establishment of a new ad hoc committee to once again review candidates for the tenured position.

Although the Morgan Report appeared to vindicate Pangle, it overturned his rejection on the least favorable grounds imaginable. The

impropriety it identified amounted to a technicality; it found Rae's conduct blameless and cleared the department of all charges of prejudice. Thus while it purported to offer Pangle a second hearing, it all but eliminated the possibility of his advancement. By clearing the department of any substantive wrongdoing, it implicitly supported its contention that Pangle did not deserve tenure, thereby prejudicing the deliberation of any future committee.

It is worth noting that the conclusions of the Morgan Report reflect an implicitly prejudicial approach to Pangle's case. The Report should have required the department to defend its rejection of Pangle by showing evidence of his deficiencies, i.e. negative evaluation of his work. It is astonishing that the Morgan Report never seeks to establish the existence of such evidence. Instead they place the burden of proof wholly on Pangle to show that bias affected his review. In this way, they concern themselves only with the allegations, but not the merits of the decision itself.

The Morgan Report's treatment of Pangle's charges has three parts, the first of which concerns the "influence of the Straussian issue in the Department." The Report appears to recognize a pervasive anti-Straussian sentiment within the department. It describes a "widespread concern" in the department that "Straussianism was an approach unlikely to produce the sort of exciting work they perceived in other major departments." Such a view, they say, bode ill for Pangle's chances. Furthermore, it was the view "of at least several members

that the Straussian approach was hardly in the forefront of work that is or should be appreciated in Political Philosophy." This attitude they admit, made it "unlikely that a Straussian would emerge with the position."

These statements do not merely suggest that a pervasive anti-methodological sentiment is absolutely permissible within an academic department. There is an implicit tolerance of the fact that this sentiment effected the consideration of an individual scholar, that is, made his tenure unlikely. If we accepted this argument, our notion of academic freedom would be a feeble one. A scholar's supposed school of thought should never in and of itself determine his acceptability. While the department may as a body disagree with the doctrine they attribute to him, it is their duty to subordinate this judgement to a consideration of the individual's work and talents. The Report, however, finds it quite acceptable that Pangle's Straussianism -- prior to his individual consideration -- harmed his chances. How is this not a challenge to academic freedom, when there is a clear implication that only certain disciplines are acceptable for a tenured professor? An academic evaluation must ultimately rest on the scholar's work and ability, not his school of thought; this was not the case with the Pangle review.

According to the Report, the perception that Straussianism wasn't producing "exciting work," led to

two events specified as unusual by Pangle. The first was the expansion of the definition of the slot to include political philosophy and theory broadly defined. Though this decision hurt Pangle's chances, it was not improper, for it was made before the evaluations had begun. It is interesting to note, however, that when the Administration made the position available they indicated their desire that it be in Political Philosophy and that it be important for the teaching programs of Yale College (Directed Studies being one of these). The department's resistance to this idea and their redefinition of the slot was, according to one Senior Professor, indicative of an indifference to teaching ability, and a way of avoiding the Administration's preference for Political Philosophy proper.

The second event referred to was the department's rejection in April of a search committee's first two nominations (both Straussians) for a junior appointment. Without discussing the case, the Report concludes that the rejections suggest no "improper bias." Rather "it showed at most a decided incredulity at the notion that all or almost all of the best available young talent in political philosophy was Straussian." In other words, the department doubted that the committee had chosen the best people available, because the people they had chosen were Straussians. It is hard to imagine how the Morgan Report fails to consider this an indication of improper bias. Describing this attitude as "incredulity" does not obscure the categorical nature of their rejection of the two Straussian candidates.

Besides Pangle and Lane, almost no one in the department attended the evaluation sessions for this position. They had little basis then for their hypothesis that the "best available young talent" had been bypassed. After rejecting the two scholars recommended, the department could only propose alternatives inadequate for the slot in question: a three year appointment for a teaching position in the political philosophy section of Directed Studies. The first alternative whom the department proposed failed to receive a favorable evaluation from one of its own members, an expert in the candidate's field. He was rejected as well by the head of the Humanities division, which was jointly supporting the appointment. The second hadn't even applied for the post and failed to list the field in question as one of his specialties. He was also rejected by the Humanities office. At this point the department accepted the search committee's second choice but for a reduced appointment of one year.

These events show that the department was willing to go to great lengths to avoid the candidates recommended by the search committee. Professor Hamburger, who served on this committee as well as Pangle's, asserts that the "deliberations on the Kelly case provided clear indications that the department was not prepared to accept a Straussian for that junior appointment." Pangle's account of the Kelly hearings supports this claim, particularly a senior professor's statement to Fairbanks that the "Department would never accept three Straussians." Taken together, this evidence strongly contradicts the Report's conclusion that the Kelly case was proper, irrelevant to Pangle's review, and failed to support

the notion that the department "had revealed itself incapable of judging the work of a young Straussian in its midst."

The next section of the Report treats the allegations of procedural error. The most important of these concerns the nature of the solicitations sought by the department. Pangle had charged that these were so worded as to make it impossible for them to be used in his favor. According to the Report, this is supported by the majority report's statements that the letters made a strong case for Pangle's tenure yet "could not be expected to address our concern that our appointment be an unusually distinguished one." They conclude, however, that the majority report is wrong, that the letters were adequate for determining Pangle's qualifications for this kind of appointment. It is typical of the Morgan Report that the significance of this discussion is suppressed. The Report doesn't mention why the letters were inadequate; this would have uncovered a major procedural irregularity in Pangle's review.

The letters specifically asked scholars to compare Pangle to "other scholars of roughly the same age and experience in the field." In the words of the Report, the wording of the letter "was composed with care, after considerable discussion among the chairman of the department, the chairman of the committee, and the other members of the department." Yet after Rae's addition, the committee redefined the field, despite the opposition of its chairman. From then on, Pangle would be compared to scholars regardless of their age and position. The letters were thus rendered inadequate after some had already been

returned to the committee. To redefine the field of search in the midst of the evaluation process is a serious and prejudicial error. This alone had been grounds for the reversal of the DiCosta decision two years earlier. The report fails to mention this impropriety, ignoring as well the implications of its own conclusions. Either Pangle's charge is correct and the letters could not be used in his favor, or the letters were an adequate means of evaluation and their recommendation of tenure was legitimate.

In lieu of these letters, the primary evidence used to support Pangle's rejection was a series of telephone conversations conducted by professor Lindblom. These, however, are mentioned nowhere in the Report. Yet telephone conversations are in principle illegitimate formal evidence for an academic evaluation. They cannot be regulated or documented. Their significance rests on variables that change with the individual: how he conducts his conversation, what he asks, what he remembers. Their use as a formal, much less exclusive basis for judgement in the review process is absolutely unprecedented. This fact alone is damning to the majority report.

The calls were made by a member of the committee, Lindblom, who determined on his own whom he would call and what he would ask. He did this without notifying the committee or its chairman, Hamburger. Lindblom made four phone calls, to Professors Mansfield and Walzer of Harvard, Wolin of Princeton, and Barry of Chicago. The fifth conversation had taken place months earlier with Bloom, now teaching at Chicago. Four of the five "consultants" are now known to have been

under consideration for the job themselves. The two who have chosen to comment, Bloom and Wolin, claim they had no idea that their opinions were being used as formal evidence for Pangle's evaluation. Wolin claims he isn't even qualified to judge Pangle's work. In the words of Law Professor Ralph Winter, the calls were a "unilateral ad hoc procedure"; their propriety is assailable on all counts.

The calls, moreover placed Pangle in a no-win situation. If they were negative, they could, as they did, provide a basis for rejection where the letters had failed. If they were positive, they would surely be rejected as improper evidence by the Senior Appointments Committee. The outcome of the phone conversations, however, was quite predictable. Each consultant was read a list of fifty or sixty candidates and asked to rate the most qualified. The majority report wanted a candidate nominated by all five consultants; they felt this "would simplify our search." This format, however, implicitly favors a non-controversial candidate, one who is acceptable to the largest number of viewpoints. Lindblom's panel consisted of three anti-Straussians and two Straussians. It is not surprising that Pangle was not nominated by the first group but rated highly by the second. A final flaw of this procedure is that Lindblom, who had discounted the letters because of Straussian and anti-Straussian bias, sought solicitations by phone from these very same groups.

The final allegation discussed by the Morgan Report concerns the addition of Professor Rae to the review committee. The Report concludes that this addition

was improper, though as Pangle has claimed "on the least revealing grounds on which it might overturn the department." Although Rae's actions while on the committee were found blameless, he was said to have made a series of remarks prior to the case which "implied a rejection of Straussians and Straussianism that went beyond mere academic disagreement or disapproval. The remarks raise reasonable doubts about Professor Rae's fitness to judge a Straussian candidate on his academic merits alone." Rae's addition was judged improper because of the "strong presumption of prejudice" which these remarks attached to him, and so a two to one decision against Pangle in which he participated was not allowed to stand.

Despite the impropriety of Rae's addition, and his public record of anti-Straussianism, the Report finds nothing "disingenuous" about his selection. Lane's reasons for using him are mentioned but not questioned. One was that "the committee was not moving forward rapidly enough in evaluating external candidates." This is consistent with Lane's public statements on Sept. 11 that the committee was "delinquent in performance of its duties." The committee's chairman, Professor Hamburger, has called these charges "laughable and absurd." He asserts it was the longtime plan of the committee, accepted by Lane, that a decision be reached by the fall. It was not until Pangle's request for an earlier deadline that the whole process was moved up. In his letter to Pangle of May 29, Lane supports this by claiming the agenda wasn't changed until the end of April, well after Rae's addition.

Lane's second reason was given as follows: "that the department's action in

rejecting the recommendation of the committee on the junior appointment made it seem likely that the committee on the senior appointment, as originally constituted, would not enjoy the full confidence of the department." This statement would make sense if the same committee were judging both cases. The Kelly committee, however, was composed of one History professor and a senior and junior professor in the Political Science Department. The Pangle committee consisted of three full professors in the department who represented a wide variety of fields within the discipline. What reason was there to expect the department to lack confidence in the committee? The first committee's shortcoming had been a willingness to accept Straussians. As Lane notes in his letter to Pangle, the department simply overturned the Kelly committee: "It seemed crucial to avoid that turn of affairs in the recommendation of the senior appointment." Lane also asserted that the "committee report will be better received if Department members have the assurance that someone representing their points of view is on the committee." The implication of these statements is clear: the department point of view was unreceptive to Straussians, Rae represented this view, so he should be added to the committee to make its view reflect that of the department. This is supported by the statement Pangle has attributed to Rae, that he was added to represent "the anti-Pangle, anti-Straussian, anti-political philosophy faction" in the department. Lane's reasoning is no justification at all. It would be ridiculous to accept the suggestion that Rae was added for Pangle's benefit — to make

his evaluation acceptable to the department — particularly in view of the consequences of Rae's addition: the expansion of the field of search, and a rejection of Pangle based on evaluations solicited by phone. Rather, the department was not prepared to accept a Straussian no matter whom the committee recommended, and added Rae in the hope the committee's view would correspond to their own.

The Morgan Report avoids these conclusions because it fails to critically examine the department's motives. At the same time, it takes every opportunity to clear the department's behavior, which leads to certain inconsistencies in the logic of their evaluation. If Rae's conduct was fair and scrupulous, why take the extraordinary step of overturning a departmental review? Was this a decision based merely on improprieties arising from appearances, as the department has claimed? Similarly, if Rae's addition by itself nullified the decision, why did the Report examine the conduct of the committee after April 10 (thereby prejudicing a second consideration of Pangle)? The explanation for these inconsistencies lies with the determination of the Report to clear the department of blame and suspicion.

This determination may also account for the outstanding omissions in the Morgan Report; the use of phone calls in the evaluation, the expansion of the field of search, and the evidence of political discrimination are not treated. At least four remarks have been cited which suggest a political dimension to Pangle's review. There is Rae's remark, lumping Leninists and Straussians together. There is Lindblom's response to a colleague's question about

the political content of the department's opposition to Straussianism: "The Rightist thing? Yeah, that's part of it, but it's subsidiary." There is the transcript of a conversation among members of the review committee, concerning the extent to which political views should be a factor in their evaluation. Professor "A" maintain that political views should in no way intrude. Professor "C", however, thought that "in a small department, political opinion might be considered," while Professor "D" objected to Straussian acceptance of certain Platonic views, which "are unacceptable to me, and which I would not apply to contemporary America." Finally, there are the remarks of a senior professor during the Kelly hearing, in which he objected to certain people "outside the mainstream" of contemporary political thought. Together, these statements suggest a political aspect to the Straussian question which is disturbing to find in the context of academic evaluation. According to Professor Joseph Hamburger, "This evidence suggests the existence of an intolerance for those who hold views that are unorthodox, that is outside the mainstream, and in this case somewhat conservative." This assertion is a central part of Pangle's grievance which the Morgan Report fails to address.

This failure suggests what is fundamentally disappointing about the resolution of the Pangle case. As the Morgan Report notes, "Decisional processes are necessarily opaque. A decision without rules or well-articulated, definite standards is necessarily still more opaque." The Morgan Report is as opaque as the departmental review it criticizes. It

offers conclusions without explaining how they were formulated. Directly or indirectly, it fails to discuss the greater part of the evidence pertinent to Pangle's charges. It ignores the two great procedural irregularities in Pangle's review. Its own rules and standards implicitly place Pangle at a disadvantage. To quote the Report once more: "Where so explicit a foundation for suspicion exists, junior faculty are entitled to something more than the message: Trust us, we trust each other." Yet the Report asks as much of its readers.

One can illustrate this point further by examining the procedural conduct of the Morgan committee. Pangle's charge of discrimination rested in part on statements made by senior faculty and overheard by junior faculty and graduate students in the department. To hear this testimony, the Morgan committee asked the department itself to recruit the witnesses. Rae was personally asked to find students who might have heard his remarks about Straussians. The department asked all other potential witnesses to sign up with the secretary. These procedures meant that graduate students and junior faculty intending to testify against the department were expected to sign up with the department; they were at the same time made aware of which senior professors were testifying on the department's behalf. As Law Professor Ralph Winter observes, this process demonstrated a complete lack of sensitivity to the predicament of junior faculty and graduate students. Having talked to several who considered shading or withholding testimony, he feels "frightened" for them. This process, he sug-

gests, involves a "second violation of academic freedom". These witnesses were faced with a situation in which they were expected to openly contradict their senior professors without receiving anonymity. It is hard to believe this predicament occurred to none of the senior professors involved on the committee or in the department. There are as many flaws in the Morgan Report as in the process it was created to investigate. A review of Pangle's case indicates many grounds for redress. The written evidence supported his case for tenure. The evaluations used against him were improper. The terms of his comparison to outside candidates were altered in the midst of his review. His charge of anti-Straussian bias offers a compelling explanation for a series of unusual decisions and events which severely damaged his prospects for tenure. Pangle's allegations gain support from the weakness of the majority report. Had the department been able to document Pangle's shortcomings, we might more easily discount the charge of bias. It remains a principle flaw in the Morgan Report that they do not seek such evidence.

The problems with Pangle's review and the Morgan Report leave many important issues unresolved. They raise doubts about the future of Yale's teaching programs. Pangle's outstanding contribution in this area was given no consideration in his tenure review.

The tenure process has been left completely unresolved. The University must decide what kinds of standards

to apply to the evaluation of junior faculty and what kind of evidence is admissible to their review. The procedures of the Morgan Report indicate a startling lack of sensitivity toward graduate students and junior faculty. Their present vulnerability is a threat to their academic freedom and independence of thought. The conclusions of the Morgan Report indicate an endorsement of departmental autonomy at the expense of academic freedom. They suggest that a department can base tenure decisions not on merit, but on doctrine.

The notion of departmental autonomy has also affected the public debate of the Pangle case. Faculty members are almost universally unwilling to criticize their colleagues in another department. This is disappointing, for the issues raised by the Pangle case are everyone's concern. The administration has been most conspicuously silent. It is hard to imagine what good this silence serves. As Professor Hamburger suggests, "Pangle's letter to the Yale community describes things that are disturbing, and the administration and the faculty and students ought to be disturbed by some of these things. There are many indications in private conversations that members of the faculty outside the Political Science Department are disturbed by them: yet no one seems willing to say so publicly. This excessive restraint is in itself worrying. It makes one wonder whether we enjoy as much freedom of speech as we would like to believe."

Leviathan In Lederhosen

David Large

The West Germans, like the Americans will hold federal elections next fall. Unlike the Americans, however, the Germans already know who their candidates for the top office, the federal chancellorship, will be. Helmut Schmidt, to no one's surprise, will run for re-election as head of the Social Democratic list. But the candidate of the conservative "union" opposition (CDU/CSU) is a surprise: he is Franz Josef Strauss, chairman of the CSU and long-time strongman of Bavarian politics. Because Strauss' nomination by the union parties this past July came as such a shock to many Germans, and because although notorious in Germany he is hardly known in this country, a brief discussion of his candidacy might be of some interest to Americans.

Strauss is hardly a newcomer on the stage of German politics. Now sixty-four, he was already politically active in his early thirties, when he served as a liaison to the American occupying authorities in the post-war Bavarian government. (Ever since then he has had to defend him-

self against charges that he began his political career as an American toady.) Following the creation of the German Federal Republic in 1949, Strauss quickly attached himself to the rising star of Konrad Adenauer, becoming the latter's Minister Without Portfolio in 1953, Minister for Atomic Affairs in 1955, and a year later Minister of Defense. As Defense Minister he presided over a military rearmament program which achieved successes as astonishing (and to some as alarming) as West Germany's famed "Economic Miracle." Strauss, however, was himself not without talents as an economist, and in the early sixties he began establishing himself as an expert in the dreary science of budgetary management. This enabled him in 1966 to become Finance Minister in the new "Great Coalition" government of Kurt Georg Kiesinger. He remained in this post until the fall of Kiesinger's cabinet in 1969.

But through all these successes Strauss remained a discontented and unfulfilled man: not until last July, it seems, had the union coalition even so much as nominated him for the federal chancellorship. This needs some explaining. Strauss' undeniable accomplishments in his various cabinet-level posts, and his almost total domination of the Bavarian branch of the conservative coalition, would seem to have made him a natural

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candidate for West Germany's highest office. But the conservatives, or at least the dominant north-German wing of the conservatives (the CDU), went out of their way to avoid him. They did so for a variety of reasons, some of which touch on central issues of postwar German politics.

In the first place, Strauss' very strength in Bavaria (and he is clearly the quintessential Bavarian: rotund, earthy, folksy, peasant-shrewd) hurts him in national politics, where regional animosities still play a very important role. Bavarians in particular seem especially adept at arousing the ire of their countrymen, somewhat the way Texans have a way of getting under the skin of all other Americans. Strauss, as the Ur-Bavarian in his Lederhosen and Tyrolian hat, magnifies these hostilities: north of the river Main he is known as "Idi Alpine."

Strauss' undeniable charisma is another two-edged sword; it gets him votes from people who are easily swayed by personal magnetism but frightens those who fear the Man on Horseback. The latter, it would seem, are still in the majority, since the Germans' recent experiences with charismatic politics, with awakened Barbarossas, have been none too salutary. Thus the post war conservative coalition has recently sought out chancellor candidates who add whole new dimensions to the concept of colorless: figures like Barzel and Kohl are hardly likely to inspire fears of incipient despotism.

Strauss is feared, however, not simply because he is charismatic, but also because he is the bad boy of postwar German politics: sex, bribery,

pocket-lining, misuse of powers -- there is something in his checkered career to suit the taste of every tabloid reader. He is said to have had a torrid affair with Jane Mansfield; he was once rolled by a prostitute outside New York's Plaza Hotel; he allegedly took money from Lockheed Aircraft in exchange for German orders of the notorious Starfighter ("Flying Coffin") jets; he apparently had his pudgy fingers in another messy pie known as the "Fibag" scandal, which involved influence peddling for a German construction consortium providing jerry-built American military housing. By far the most damaging moment in Strauss' career, however, came with the so-called "Spiegel Affair" of 1962. At that time Strauss was Minister of Defense and had just presided over the annual fall maneuvers of the German army. *Der Spiegel* ran a story which was highly critical of these maneuvers in particular and of the German army in general: the Bundeswehr, it insisted, might not be capable of doing its job in an emergency. Strauss responded by raiding the Hamburg offices of the magazine and throwing its editor in jail. The Defense Minister claimed Germany's national security had been compromised; his critics claimed he was simply trying to stifle the opposition press. In any case, it was Strauss' career that was compromised in the end; his tactics were far too reminiscent of the Gestapo a couple decades past.

How, then, has it come to pass that this *enfant terrible* of postwar German politics is finally the chancellor candidate of the union parties? What happened suddenly last summer in the smoke-filled rooms of the oppo-

sition coalition? Again, the issues are complex and I can only provide the briefest outline.

Most important is that Strauss, at age sixty-four, decided it was now or never, and so he played his ace-in-the-hole, his last card. He let it be known that if he were not nominated for the chancellorship he would create a new national party, or expand the existing CSU throughout the rest of the Federal Republic. As expected, these threats terrified CDU politicians because either option would take away just enough of their constituency to make it almost impossible for them to win elections against their SPD/FDP opponents. Better to let Strauss have his chance, even if in losing he were to take a few CDU people down with him, than to split the north-German conservative constituency. The CDU hope, of course, is that after his candidacy, which most fully expect to be unsuccessful, Strauss will finally give up his fondest dream, rather like Barry Goldwater after 1964. (What they fear, again eyeing the American scene, is that he might dye his hair orange and hang around to haunt the union for another decade.)

But Strauss' candidacy can also be understood in terms that go deeper than this political blackmail: at issue here are broader changes on the German scene, changes whose importance transcend the victory or defeat of any single candidate.

There has been an undeniable shift to the right in German politics over the past half-decade or so. Fears of continued terrorist activities have something to do with this; so does the economic situation. (Germany's unemployment and inflation rates may be low by U. S.

standards, but their slightest increase causes panic among people who remember the days when the only place you could find a job was in the SA, and when it was more economical to stoke your oven with currency than with coal.) On the international front, the growing disparity between the NATO forces and those of the Warsaw Pact, as well as a perceived deterioration of American power and commitment, have strengthened the hand of those calling for a stronger German defense posture, perhaps even for a German bomb. Strauss benefits from all these fears and phobias, for he has long been known as a hard-liner against terrorists and their "sympathizers" (chiefly radical lawyers and university professors); he is a prominent fiscal conservative (though he presides over a state with the lowest unemployment in the Federal Republic); and he is an advocate of increased military preparedness, even (if necessary) of developing an independent nuclear weapons capacity. But above all he stands for a revival of German pride and national assertiveness; Germans, he says, must no longer be ashamed to be nationalistic.

These considerations help explain the realization of what many Germans believed was impossible or at least unthinkable: a Strauss candidacy for the federal chancellorship. What, then, has the reaction been to this development, and how has the Strauss campaign shaped up in its early phases?

As I indicated above, the first reaction to the news of Strauss' candidacy was one of shock and dismay, even among many conservatives. But the announcement was timed to catch the Germans just as they prepared to go off

on their annual summer vacations, a ritual they observe with a seriousness that puts even Americans to shame. Once ensconced in those Teutonic tent cities which blight the beaches of Spain and Greece, the German vacationer will hear nothing of politics, not even the politics of law and order. By the time they returned from their vacations in late August the Strauss candidacy was no longer news, it was only history. Each party or faction could calmly assess what Herr Strauss might mean for their party and the fatherland.

The far left, the Communists, said it meant Apocalypse Now: Franz Josef Strauss was none other than the final crisis of bourgeois capitalism. This, of course, was to be welcomed, for as Khrushchev once observed, you can't make an omlette without breaking an egg. "Nach Hitler Uns."

In the SPD camp the assessment was mixed, as only befits a party whose ideological contours are about as sharp as a marriage of tapioca and meringue. Helmut Schmidt allowed that he was pleased; Strauss, he said, was his "Wunsch Kandidat," which meant only that he was sure he could beat him more handily than any other conservative. But he also said that Strauss was not a "dragon," confident, one supposes, that nobody would believe him. Herbert Wehner, the leader of the party's left wing, said just the opposite: Strauss was a dragon, and a dragon of Wagnerian proportions. His candidacy represented the revival of the worst elements in German politics; it suggested the potential demise of the loyal opposition.

The Free Democrats' response was more akin to Schmidt's: they were pleased because Strauss' rival for the

union nomination, Willy Albrecht of Lower Saxony, is a liberal who might have stolen votes from the liberal FDP. No one fears that Strauss will steal many FDP votes, although he did insist that he, rather than the FDP leader Genscher, was a "true liberal." (Genscher responded by quoting Somoza on the eve of his fall: "The people of Nicaragua stand on my side, that is, the true liberal side.")

The CDU, for its part, seems to have adjusted surprisingly quickly to a development which few of its leaders could have wanted. Some of the CDU people are now even claiming to be enthusiastic about Strauss, and one doesn't know whether this is simply the usual election-year treacle or an equally typical (at least among Germans) longing for some political *Gotterdammerung*. If the latter is true then we might indeed witness a repeat of that Weimer spectacle when the extremes didn't just touch, but gleefully danced around the funeral pyre of the middle.

But that seems hardly likely at this point. So far the Strauss campaign has been lackluster at best, surprisingly lackluster for a politician who is infamous for his vitriolic rhetoric. Indeed, Strauss is behaving less like a dragon than a chameleon; he is changing his color almost daily, but none of his colors seem especially vivid. His forays against Schmidt and the SPD lack their customary vigor; his whole demeanor has become so mild that some Germans are asking whether the old Strauss is perhaps gone for good.

I doubt this. I think Strauss is having problems getting his campaign off the ground primarily because his opponent has effectively stolen some of

his pet issues; Schmidt has moved so far to the right he has left little room for Strauss. An example of this is the chancellor's reversal on the question of speed limits on the autobahnen, which he had once favored but now opposes after a recent poll indicated that Germans feel about speed limits the way Americans feel about gun control. Another issue is nuclear energy. Schmidt is not as pro-nuclear as Strauss, but so far he has resisted pressure from the left-wing of his party to scuttle present nuclear reactor construction. All Strauss is left with is the contention that without his prodding Schmidt would have imposed speed limits, and would have shut down nuclear construction. The problem with this argument, of course, is that it suggests Strauss functions most usefully in the opposition.

We are likely, nevertheless, to see the campaign heat up in the near future, for Strauss has been inhibited not only by Schmidt's own chameleon strategy, but also by his need to build bridges to the more moderate CDU. Once he has successfully built those bridges (or conversely, burned them for good), he is likely to become his own man again, and that means we will no doubt witness some pyrotechnics in the coming months. It is hard to say now where exactly Strauss will focus his polemics, but probable targets would be such emotion-laden issues as the statute of limitations on Nazi war crimes (Strauss, though himself without a "brown past," favors imposing the statute), and the

so-called *Berufsverbot*, a law preventing persons convicted of crimes against the constitution from holding civil service jobs. On this latter issue Strauss made his position clear in his now famous Sonthofen speech of 1975: "We [the conservatives] will come in and clean house in such a way that for the rest of the century none of these bandits will risk opening their mouths in Germany."

What are the chances that Strauss will get the opportunity to "come in and clean house?" A recent poll suggested that only one-third of the West German electorate would now vote for him. The poll also indicated that Strauss is having difficulty attracting the young and relatively well-educated voters, and that if the election were held now he would fare very badly in such northern states as Schleswig-Holstein, Bremen, Lower Saxony and Hamburg.

Polls, of course, are not always reliable guides, especially those taken a year before election. Much can happen between now and next October which might enhance Strauss' chances. (For example, Strauss might profit from the furor that is certain to ensue if the West German government refuses to accept the placement of American medium range nuclear missiles on German soil.) Still, I think one can safely predict that Strauss' attack on Bonn will be repulsed, and that the "Leviathan in Lederhosen" will be forced back to his Bavarian lair -- perhaps this time for good.

The Oil Technology Weapon In U.S.—Soviet Relations

Noel Lateef

Before recent tensions in U.S. -- Soviet relations "astringently washed away" the remnants of any euphoric expectations from an earlier period of detente, the tendency was to divorce economic considerations from foreign policy goals in U.S. transactions with the Soviets. Two years ago, a new approach, namely "conditioned flexibility," was proposed by Samuel P. Huntington, in which changes in the scope and character of U.S. -- Soviet economic relations would be linked to and conditioned by progress in the achievement of U.S. political and security objectives. This approach became policy during its formulator's tenure as coordinator of security planning at the National Security Council (NSC) in 1977-78. Presidential Directive No. 18 codified the policy, positing that the U.S. must take advantage of its economic strength and technological superiority to ginger incentives for Soviet cooperation.

The decision to employ economic leverage in relations with the Soviets led Huntington to look at the Soviet economy and to identify weaknesses that could be exploited. The inquiry found an area of "striking" U.S. advantage in oil technology. The Soviet Union, which is the world's

leading oil producer, is anxious to develop its energy resources and is concentrating on its west Siberian oil fields. Soviet alacrity to cooperate on the energy front stems in part from a sluggish economy Soviet planners hope to bolster via increased oil production. This has meant expanded orders for U.S. oil drilling technology. For many items, including downhole pumps, gas lift equipment, drill bits, well completion equipment, and offshore drilling technology, the U.S. has virtually been the Soviets' sole supplier. This type of equipment is believed to be essential to the Soviets if they are to stave off a significant decline in their oil production in the early or mid-1980s. It is estimated that without submersible pumps imported from the U.S., Soviet oil production would be 10-15 percent less than it is.

Moreover, oil is a critical hard currency earner for the Soviet Union, bringing in about 40-50 percent of its foreign exchange. Due to the growing demands of domestic consumption, the Soviets are beginning to decrease exports of oil. In 1976, the Soviets exported as much oil to the West -- \$4.5 billion worth -- as to its Communist allies. Aside from military occupation, oil supplies are the principal means by which the Soviets retain their grip on the jugular of their most proximate satellites.

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Romania's relative independence is attributed in part to the country's self-sufficiency in oil.

Hence, proponents of economic leverage conclude that U.S. technical assistance to Soviet oil production is an extremely anomalous policy; that the Soviet Union should be left to make do with second-rate oil production technology and to stew in its "socialist juices." When the Soviets mounted a public challenge to President Carter's human rights campaign by putting Soviet dissident Anatoly Schransky on trial and, simultaneously, opened a new campaign of harassment against U.S. journalists, the President acted immediately on one of Huntington's recommendations, the placing of oil technology on the Commodities Control List (COCOM), which is subject to the Export Administration Act. This legislation specifies that approval of applications for validating licenses to export listed technologies depends on whether the decision will "further significantly the foreign policy of the United States." Carter also added another layer to an already elaborate control structure by involving NSC in reviewing all applications for oil technology transfers.

While the Carter Administration has introduced delays, notably in the summer of 1978, it has not denied to date any application for oil equipment export licenses to the Soviet Union. The prospects are dim that Western Europe would cooperate to restrict sales of oil equipment to the Soviets from whom they receive pipeline gas and oil. Many Europeans believe that for the moment, this supply is not only more convenient but

less susceptible to disruption than Middle Eastern and North African sources. The U.S. oil equipment industry maintains that the U.S. does not have a monopoly on know-how in this area, and that the Japanese, who share the European incentives for not curtailing exports to the Soviet Union, would be even less likely to close ranks with the U.S. on non-military technology transfers.

In many ways, the policy on export of oil drilling equipment is symptomatic of the inadequacies of the Carter Administration's management of U.S. - Soviet relations. This policy illustrates graphically the problems attendant to unilateral efforts to define the terms of the relationship. It accentuates the need for the President to be a more forceful arbiter of multiple advocacy within his administration. By not ranking its objectives, the Administration has become prone to settle for narrow, tactical linkages when more direct solutions seem elusive and too long term. However, the most severe setback in the present strategy is its propensity to address concatenated elements of the relationship as if they were hermetically sealed off from one another. The human rights campaign has suffered such a fate as have the tentative forays in economic diplomacy. In the latter bailiwick, the case-by-case procedure for taking any kind of action reflects a disjointed policy. The three month delays (on average) in the individual reviews of export license applications could be reduced substantially if there was adequate government guidance in the area of critical technologies.

While there are serious reservations about the effectiveness of the oil technology weapon in Washington, not using it once its delivery system has been put in place leaves the impression of ambivalence and weakness -- the inverse of the desired outcome. This policy also points to the dangers of not viewing the U.S. -- Soviet relationship whole. This tendency to isolate may be one of the most constant features of the relationship dating back to Franklin Roosevelt's determination to keep the Manhattan Project isolated from Soviet-American diplomacy despite the growing impossibility of doing so. As if in a carry-over from this unfortunate period, Soviet policies are being viewed and explained to Carter, much as they were to Harry Truman: in terms of what Henry Kissinger describes as an "inherent bad faith model" that denies the existence of data that could disconfirm it and is, therefore, self-perpetuating.

Historically, Soviet reluctance to displease the U.S. for fear of economic sanctions has been exaggerated. Averell Harriman would stress to Truman towards the end of World War II that the Soviets had no desire to break with the U.S. if this meant endangering economic assistance vital to Soviet reconstruction programs. Likewise, the Soviets exaggerate the importance of their market to U.S. business. For the Soviets there is a familiar ideological underpinning: Lenin, after all, had forecast that capitalists would sell the rope for their own hanging.

In fact, the Soviets are very eager to receive most-favored-nation (MFN)

terms from the U.S. MFN means no more, of course, than that the terms of trade would be the same as with virtually every other country outside the Communist bloc with which the U.S. has trade relations. It would also mean that the Soviet Union would be eligible for Export-Import bank loans. These loans are especially important to the Soviets since some commercial banks in the U.S. have become skeptical of Soviet creditworthiness because of chronic trade deficits with the West. The imbalance -- the Soviets buy about 10 times more than they sell to the U.S. -- means that they must resort to borrowing Western currency to finance goods imported from the West.

In an appeal to American commercial self-interest, President Leonid I. Brezhnev estimated, some eighteen months after an amended trade act was signed in 1974 by Congress, that American firms had lost orders worth close to \$2 billion due to credit restrictions. In October, 1978, 133 American firms that manufacture components used in the oil, gas, petrochemical and construction industries participated in a trade show at Moscow's Sokolniki Park. Shortly before, when 11 American companies participated in an oil and gas equipment exposition in Baku, the center of the Soviet oil equipment industry, a single order for a Dresser Industries plant to reproduce hard-metal drill bit equipment was worth \$144 million. Considerable pressure was brought to bear on the Administration to approve, in December, 1978, 22 oil-technology licenses that had been held up since the summer.

In *A World Destroyed*, Martin Sherwin states that the abrupt manner in which lend-lease to the Soviet Union was terminated after the Second World War "undermined any possibility thereafter of introducing any subtlety into attempts to apply economic leverage to diplomatic ends." Even after efforts were made to smooth things over in the wake of this "imbroglio," Secretary of State Edward Stettinius, Jr., later noted in his diary that "the psychological damage had been done."

The Soviets are disturbed by what they perceive as efforts to rekindle the cold war by "economic pinpricks." They have complained that economic leverage violates the spirit of detente. While, in the past, all things being equal, they preferred U.S. oil technology, they are increasingly reluctant at present to place orders with the U.S. and are turning to other technology suppliers. After a 5-year period of generally steady growth, U.S. exports to the Soviet Union declined from \$2.3 billion in 1976 to \$1.6 billion in 1977. In effect, the Soviets are acutely aware of their economic relationship with the U.S. and are consciously shaping their economic policies to serve their political and security goals.

Complicating the situation is the Soviet leadership's assessment of the causes for the deterioration in relations with the U.S. The present tensions are largely attributed to cold war pressure pockets within the U.S. and not as a response to Soviet actions. Yet, widespread humanitarian support for Jewish emigration from the Soviet Union led to the Jackson-Vanik

amendment, which prohibits official credits to any nonmarket country that "denies to its citizens the right or opportunity to emigrate." Senator Henry Jackson voices a sentiment that is not atypical on the Hill: "When the Soviets are doing so much to provoke us... this is the time for us to let the Russians know that we can play the game too." Jackson urged halting the sale of a Sperry Univac computer-system sale to the Tass news agency. Huntington, who has since returned to Harvard, believes that President Carter erred when he approved export of the complete plant by Dresser Industries for making rock oil drilling bits.

More than anything else, the oil technology policy reflects the absence of both a sense of priorities and an appreciation of the interactions among dimensions of U.S. -- Soviet relations. If our immediate policy objective is modification of Soviet behavior, what are the opportunity costs of the contending approaches and are we willing to absorb them? Sub-optimization, i.e., an approximate sequential consideration of policy alternatives, is a decision-making luxury that the relationship cannot afford given the range of pressing problems that must be addressed. Indeed, the whole question of "linkage" is moot without thinking in terms of opportunities forgone. Among these costs are the disruption of negotiations with the Soviet Union on many critical issues ranging from SALT II, which appears to be a tub that can sit on its own bottom, to conventional arms transfer limitation, anti-satellite arms control, the Indian Ocean, chemical weapons and radio-

logical weapons control. Stepping back from the canvas, the popular feelings illicit by the relationship -- though not particularly enthusiastic -- are a muted form of political capital that neither side should squander.

Achieving the right mix of cooperation and competition is critical to the relationship. At the moment, the relationship enjoys few cooperative ventures with substantial public outreach. However, in the words of Robert Legvold, "it is precisely when the United States puts its foot down in crisis area, moves to correct adverse military trends, and confronts the Soviet Union with abuses within the U.S.S.R. to which we object that the Administration has the greatest need for, say, promoting economic cooperation -- not as a counterbalance to our firmness or as compensation for our firmness but as partial proof that our firmness is aimed at a more constructive relationship." There is inadequate recognition that the development of economic relations with the Soviet Union could add an important stabilizing element to the total relationship to the benefit of both sides. While Soviet foreign trade amounts to only 4 percent of Soviet GNP, it is critical to the Soviet economy, which has been faltering in recent years as evidenced by a falling rate of growth. In several sectors, front-end technology from the West has become essential to economic progress. For some time, it has been apparent that there is a considerable lag in advanced elements of the Soviet economy; in new computers, the whole technetronic advance that has put Western industry on another

plane.

The conduct of U.S. economic diplomacy has to be part of an overall policy toward the Soviet Union that is considerably more coherent than at present. It is not enough to decide what our policy on export licensing should be or how better to achieve the objectives of the Jackson-Vanik Amendment. First, we must decide the kind of economic relationship we want to have with the Soviet Union and how this fits into the larger relationship we are trying to build. A *Washington Post* editorial on the Dresser case puts it this way: "The debate is not about the export of rock drilling bit technology but about the kind of world in which Americans want to live and the sort of relations with the Soviet Union that this country wants to have."

It is because we recognize the underlying strategic linkages that make the relationship "sui generis" that we must exercise due care as to where, when, and how we link or de-link. In the last analysis, it is not only a question of linkage, but of what is said about linkage and how loudly it is said. Stanley Hoffman remarks: "Kissinger was smart enough to avoid anti-Soviet rhetoric even while practicing anti-Soviet policies. Obviously, the Nixon opening to China had an anti-Soviet thrust. But it was carefully presented as aimed against nobody -- as a mere recognition of realities long ignored by America -- and as part of a strategy of detente with both Communist countries." At the height of the Viet Nam War, as U.S. B-52s bombed Hanoi, the Nixon Administration

successfully de-linked SALT from regional conflict.

It is necessary to distinguish between two types of linkage: explicit and implicit. The former refers to deliberate linkage of issues not intrinsically interrelated so as to exert pressure for a desired outcome; the latter usually signifies a patient, consistent attempt to educate the Soviets in the realities of the American political system in order for them to understand that linkage of issues does not depend on the will of U.S. policymakers but "is a fact of life." Implicit linkage is a potent form of leverage that permits the Soviets to swallow their pride. This is not true of explicit linkage, which too often confuses short-term policy objectives, having to do with modifying Soviet behavior, with long-term objectives such as maintaining a stable relationship or, at the very least, one that breaks the ice of cold war co-existence. The principal danger of explicit linkage is its propensity to snowball under the direction of over-zealous proponents of modification. Obviously, if we had our druthers, there is much about Soviet behavior that we should like to amend.

Since the Carter Administration has decided that U.S. foreign policy is no longer going to lie solely on an anti-Communist foundation, there has been not a little confusion as to whether the U.S. should be active or passive in playing the balance of power game, and many increments of active and passive response have been advocated. What is evident, in the words of Marshall Shulman, is that, "A competition without restraint and without

shared rules will escalate into graver tensions."

During the Kissinger years at the State Department the policy was to say nothing about economic diplomacy with the Soviet Union. State would sit on export licenses for extended periods and the Soviets would be prodded in a subtle manner at Washington cocktail parties to be more forthcoming on issues like immigration. In keeping with the peculiarities of a closed society, the Soviets prefer to sweep evidence of mutual concessions under the rug. For instance, it is never said publicly in the Soviet Union that a joint strategic arms agreement could aid the strained Soviet economy. That Jewish emigration stood at a record 5,000 for the month of April alone is unreported and spoken about only within the Moscow Jewish community.

A strong indictment of the present attempt to exploit linkage via economic diplomacy stems from the fact that this form of leverage undermines interdependence. Although the concept of interdependence strikes many as rhetorical and quixotic, it is, nonetheless, a modern reality to which we must adjust as we approach the scarcity salient. For instance, the potential for U.S. leverage in the face of Soviet oil vulnerability must be weighed against U.S. vulnerability to OPEC leverage in a tight world energy market that could be relieved by expanded Soviet output.

In world politics, the instruments for modifying statist behavior are becoming rare. Hence, there are those who argue that we have to cherish the ones that are presently available,

chief among them, economic leverage. In the process, they do an injustice to multilateral channels of diplomacy. With greater understanding of multilateral diplomacy, desired statist behavior can be induced; hegemonical leadership that relies on command is rapidly becoming obsolescent. The instruments deployed in meeting the Soviet challenge become integral to the character of the challenge either escalating tensions or bringing them under control. Legvold captures the thought well: "The perceptual dimension obscures the heart of the problem, the longer-term, more insoluble form of the problem, the problem as a mutual problem, the level where our own behavior enters the equation."

The central assumption underpinning the oil technology weapon is that it works. The evidence in support of this assumption is inconclusive. On the other hand, deploying this weapon would be perceived by the Soviets as an act consistent with the kinds of pressures placed on smaller, dependent countries, i.e., demeaning in super-power relations. We know for a fact

that prestige has been a major Soviet objective. To be dismissed as irrelevant to the business of crisis management and the wider concern with reshaping the international system is a put-down the Soviets have not taken lightly. It is important not to underestimate the value of status bargaining chips that can be traded in for good behavior.

In the first months of his administration, Jimmy Carter complained that there was little predictability about government policy in many areas domestic and foreign. In those halcyon days of early 1976, Carter could still afford to place a premium on long range goals. He strongly believed that by identifying these goals, policies could become predictable. In turn, predictability would reduce conflict and increase cooperation. Hence, he condemned Kissinger's policy of no permanent friends and no permanent enemies. "Other nations," he observed, are hungry "for a more predictable and mutually advantageous relationship with our country." Several years later, this assessment is curiously "apropos" to U.S.-Soviet relations.

Artistic Beauty

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Health Care For Consumers

Susan Billington

Should the United States institute a National Health Insurance System? This is a question that politicians will ask loudly in 1980, but that legislators have been answering quietly for decades.

America already has a fragmented National Health Insurance (NHI) system with separate programs for groups such as the elderly, poor, employed middle class, veterans, militaries and dependents. Federal, state and local governments currently pay 55 percent of all hospital bills and 24 percent of all doctor bills. Unlike Canada where full-scale coverage of physicians' charges was shouldered by the government less than a decade after complete hospital coverage, the United States has adopted an incremental approach to National Health Insurance and gradually extended protection to small segments of the population.

Since 1915 when the American Association for Labor Legislation unsuccessfully sponsored a model medical care insurance bill, there has been public demand for government involvement in health insurance. Opinion polls repeatedly indicated

from 1943-65 that two-thirds of all Americans favored some form of government assistance in the financing of their personal medical bills. But while a majority of people agreed that accessibility to health services should not be dependent on ability to pay, few could agree on what type of government action would most effectively remove financial barriers to health care.

President Roosevelt's Advisory Committee on Economic Security explored the possibility of a compulsory government health insurance program and Harry Truman made NHI a central aspiration of his "Fair Deal." Yet both Presidents abandoned their controversial proposals, the former in order not to jeopardize the Social Security Act and the latter in order to concentrate on Medicare, a peripheral program for the aged.

Medicare was a compromise social insurance program designed to pay some hospital costs for some of the elderly. But despite its limited objectives, Medicare might also have been abandoned if the Johnson landslide had not brought, for the first time since 1938, a working progressive majority into the House of Representatives. In 1965, Medicare was passed along with Medicaid, a welfare program which provides federal matching funds

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for state-administered health programs for the poor. Today, Medicare and Medicaid account for 62 percent of all federal spending in the health sector.

It is several decades too late to ask if we should give the public sector control over the health care industry, because it already exercises such control. But the cost of making high quality health care available to more Americans through government action has been high. Real per capita spending on health care (i.e. net of general inflation) increased 79 percent between 1965 (the year of Medicare and Medicaid) and 1976. The FY '77 national health expenditure level of \$162 billion (or 8.8 percent of GNP) was 1.5 percent above that for FY'76. Public sector spending rose from \$9.5 billion or 25 percent of the total in 1965 to \$59 billion or 42 percent of the total in 1976.

Furthermore, the cost of health care has risen more rapidly than consumer prices in the economy as a whole. Since the enactment of Medicare and Medicaid, the price of medical services has risen 1.5 times as fast as the Consumer Price Index. While the general level of consumer prices rose by about 150 percent between 1950 and 1977, the average cost of a day of hospital care increased by more than 1,000 percent.

Why have the costs of health care escalated at double-digit rates for the last several years? Our present health care system has created a network of perverse incentives for both patient and physician to elect the most elaborate rather than most

efficient forms of treatment. "Fee-for-service" rewards doctors on a treatment-by-treatment basis, giving them incentive to provide more rather than fewer services. Cost-reimbursement for hospitals punishes hospital administrators for cost-cutting. And, finally, third-party reimbursement effectively removes price consideration from a consumer's decision to seek health care. Government programs combined with payments from private insurers, Blue Cross and Blue Shield pick-up such a large percentage of hospital and doctor bills that the average patient is left with only 6 percent of his hospital bills and 39 percent of his physician bills.

Because the actual out-of-pocket or net costs of hospital care for most patients are relatively small, the patient has limited incentive not to accept the most expensive care available. Likewise, neither the doctors nor the hospitals have any disincentive to offer anything but the most costly treatment. Says Dr. David Thompson, director of New York Hospital: "The system is set up to pay for the most expensive means of treatment, rather than the most efficient or economical. Its crazy."

In our effort to bring medical care within everyone's reach, we have created inflation that makes the costs of even the most basic health care prohibitive. A National Health Insurance System without cost-containment mechanisms will only burden the public with an ever-increasing tax rate. We have discovered that when government outlays are largely in the

form of third-party reimbursement programs, government spending will be uncontrollable. For example, Medicare outlays have increased by nearly 50 percent in the last two years, going from \$17.8 billion in FY'76 to about \$26 billion in FY'78. In order to make health care more accessible to a certain population group, we have aggravated the problem of inflation.

How can we assure equal access of all Americans to health care and also contain costs? Alain Enthoven of Stanford University is convinced that public regulation of prices and capacity will not solve either the problem of inflation or inequity. Rather, Enthoven supports the use of appropriately designed incentives and competition in the private sector. The key to cost control, he claims, is to establish competing health care systems in which physicians are rewarded for discovering ways to provide better care at less cost. In experimental organizations like Prepaid Group Practice, Individual Practice Associations and other health maintenance plans, physicians provide comprehensive health care services to enrolled members for a periodic per capita payment instead of fee-for-service payments. Enthoven admires these alternative delivery systems (ADS) for their built-in cost controls and incentives to use resources wisely.

Enthoven's comprehensive proposal--the Consumer Choice Health Plan (CCHP)--would give all Americans a choice among competing alternative delivery systems. Through tax credits or vouchers,

the Government would help people enroll in and pay for the private health benefits plan of their choice. The amount of the tax credit would be based on actuarial cost (i.e. the average total cost of covered benefits for persons in each actuarial category such as men 45-64 years of age) and, for the poor, on financial need. Thus persons who could not meet costs would in most cases receive appropriate payment.

Furthermore, persons in higher risk groups would get larger tax credits than those in more healthy population groups. It is controversial whether those who voluntarily place themselves into higher risk categories by smoking, drinking or overeating should also receive larger tax credits.

The Government would assure that people have enough money to join a good plan, but because people would have to use their own net after-tax money to pay any amount above subsidy-level, they would seek the best value for their dollars. The net cost to the federal budget would be about \$22 billion (in 1978 dollars) with tax credits set at 60 percent of Actuarial Cost.

The Enthoven plan would equalize health care purchasing power but would not enforce absolute equality. Competition would keep the cost of health plans low enough to be met by the poor with the aid of vouchers. The well-to-do would have to pay the extra costs of more expensive health plans out of net after-tax income.

While controlling inflation and encouraging equity, CCHP would also improve the quality of care

offered to every American. Health provider systems such as HMO's would net their money from satisfied customers rather than the government. These alternative systems for organizing and financing would have to be efficient and responsible in order to attract enrollees.

Presently, there is great inefficiency in the health sector in the form of duplication of costly underutilized facilities. Often different hospitals within a single community will duplicate highly specialized and expensive services and equipment such as cobalt therapy and renal dialysis equipment, driving costs up if they are underutilized. Pre-paid group practice and other ADS plans favored by Enthoven would be penalized for such inflationary inefficiency through decreased enrollment as patients seek the lower costs of other plans.

Large savings have already been observed in existing pre-paid group practice plans. A recent review of comparison studies over the past 25 years concluded: "The evidence indicates that the total costs for HMO enrollees are 10-40 percent lower than for comparable people with health insurance." These savings were achieved largely because of more cost-efficient utilization of hospital services, and were significant even in the absence of real competition from similar organizations.

CCHP would rely heavily on market principles rather than government regulation to control costs. But the plan would alleviate the problem of inequity by extending protection through tax credits or vouchers to

the 18 million people, most of them poor or near poor, who currently have no health insurance coverage. Enthoven's plan could also aid the 19 million Americans today whose health insurance does not protect them against ordinary costs of hospital and physician services as well as the 46 million people who have inadequate insurance against large medical bills.

The plan's tax credit/voucher system would take money from the rich and redistribute it among lower-income people. In this way, CCHP would offer subsidized health plan coverage to those unable to pay, as well as an expanded range of choice, improved efficiency and reduced cost through competition to everyone. CCHP would use the dynamics of the market to provide quality health care at a reasonable cost, while simultaneously protecting those unable to meet their expenses. Through a responsible and controlled use of private competition, CCHP would fight both inflation and inequity.

Above all, Enthoven's plan would give the consumer (patient) a newly important role in the health care industry. By providing the consumer with a choice from among alternative systems for organizing and financing care, CCHP would allow the consumer to benefit from economizing choices. Above the tax credit/voucher level, consumer's would be spending their own money instead of somebody else's. The health care delivery system would be forced to reorganize itself in response to consumers who seek out and choose what is in their own best interests. CCHP would provide con-

sumers with better information about their options by mandating periodic government run open enrollment for all qualified health plans. And CCHP would give consumers real economic incentive to make use of this information and choose a health plan wisely.

Recognizing the importance of competition for the health care system, H.E.W. hired Enthoven as a consultant when putting together the Carter Administration's National Health Plan. Carter's NHI proposal calls for an expansion of Medicare and Medicaid and the establishment of an insurance program for catastrophic illnesses. The Carter plan would cost the government \$15-18 billion and would add about \$5 billion to private health insurance bills in 1983. Yet it would foster competition in the health care industry by 1. encouraging the development of HMO's and other ADS's, and 2. provoking competition among those who sell goods and services to health institutions, as well as among physicians, insurers in the private sector and insurers administering the public plan.

Kennedy has also incorporated certain competitive principles into his newest NHI proposal--the Health Care for All Americans Act. This bill would provide broad medical and hospital coverage to all Americans at a cost

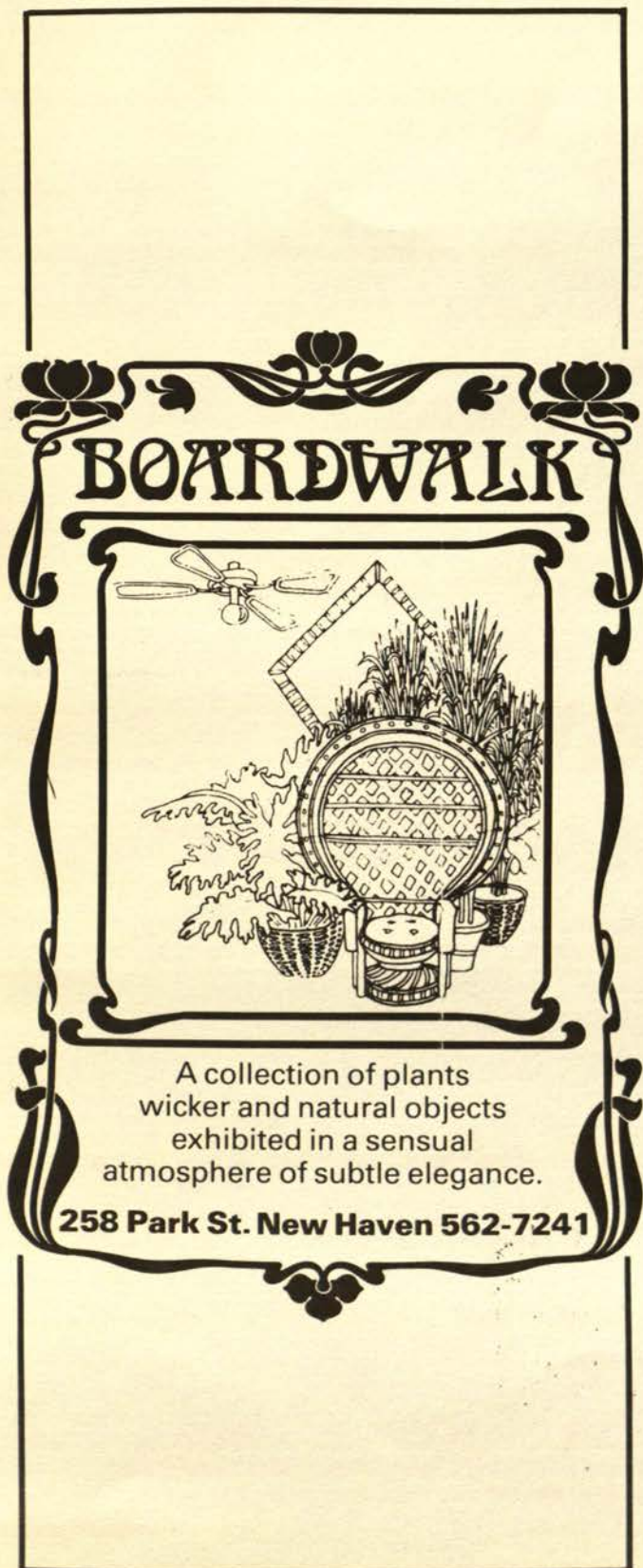
of \$28.6 billion in federal funds and \$11.4 billion in private funds in 1983 and perhaps more later. But Kennedy wants the people to decide whether they want to be protected by commercial insurance companies, by Blue Cross-Blue Shield or by joining independent group health plans or HMO's.

But NHI proposals such as those put forth by Kennedy and Carter would still impose complex systems of direct government controls on the health care industry. Although both plans have certain competitive features, they rely heavily on regulations which would be based on arbitrary numerical standards and would be imposed across the board with little respect for the individual preference of either patient or physician. The great advantage of a proposal like CCHP is that it makes use of smaller, less rigid units of service and protects the right of each individual to decide what form of health care delivery system is the most efficient and economical.

I am indebted to two articles that Enthoven published March 23 and 30, 1978 in *The New England Journal of Medicine*, as well as to the writings of Ted Marmor and numerous conversations with Martha Darling.

YALE

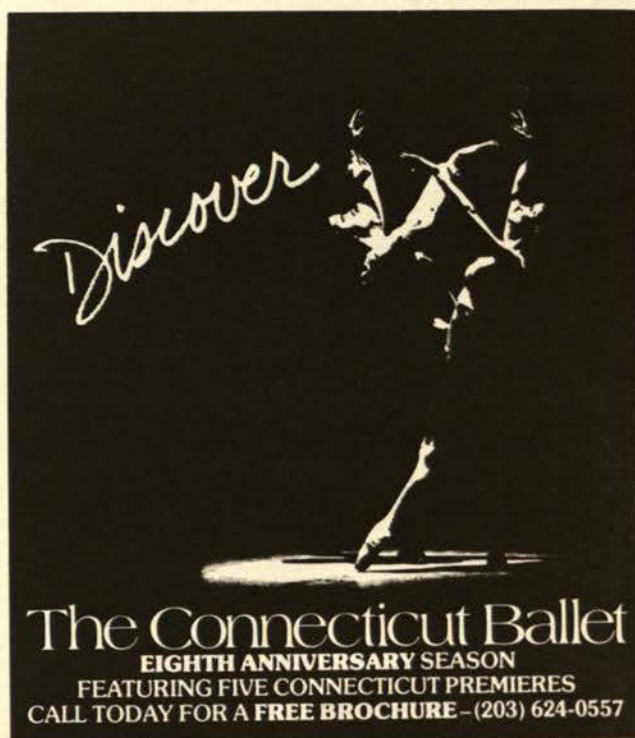




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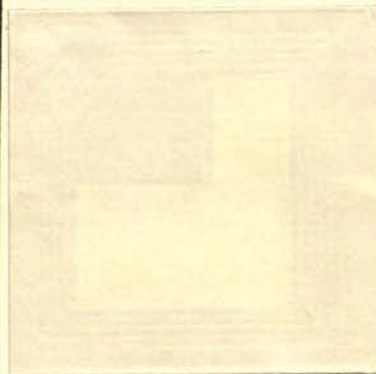
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